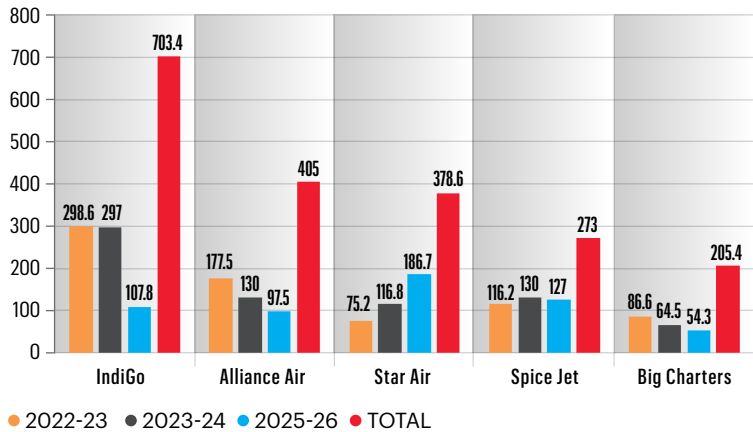


BIGGER PLAYERS GAIN

► IndiGo is the biggest beneficiary of UDAN 1.0; the scheme gave a fillip to regional airlines



NOTE ALLOCATION IN ₹ CRORE SOURCE MOCA

A FASTER TAKEOFF

► Top five UDAN airports that have outpaced national passenger traffic growth

Airport	FY25 passenger traffic growth over FY20 (%)	Capacity utilisation (%)
Agra	1,039	56
Hindon	966	116
Tezpur	735	11
Jalgaon	503	116
Bhuj	486	67
National Average	120	15

SOURCE AAI/CRISIL INTELLIGENCE

base. The highly coveted and recently inaugurated Jewar airport in Noida is also expected to boost revenues.

THE ROADMAP

The government is looking to

double the number of airports (to 350-400) by 2047. The RCS is expecting to play a major role in achieving this target.

Chacko says the continued provision and expansion of VGF, along with a more sustainable sup-

port mechanism, will be critical in enabling airlines to establish regional connectivity.

“The emphasis on last-mile connectivity and infrastructure readiness will further enhance operational efficiency and improve the passenger experience,” he says.

One more important point is the emphasis on indigenous aircraft acquisition, signaling a commitment to strengthening domestic manufacturing capabilities mainly focused on regional aircraft, providing a cheaper alternative and making regional/UDAN routes more viable, says Tiwana. “Although, fund allocation may need to be bolstered for this,” he adds.

Going forward, while the share of passenger traffic from UDAN routes is expected to be broadly stable, the continued expansion of airport infrastructure and route connectivity is likely to strengthen India’s regional aviation network by adding more underserved airports and making air travel accessible to the wider Indian populace and enable airlines to expand their network, says Crisil.

Several newer players, such as Alhind Air, Shankh Air, and Air Kerala, are looking to enter the regional aviation space, eyeing opportunities to enhance regional connectivity.

The modified UDAN seemingly provides a smooth launch pad for the newbies looking to put more destinations on the country’s aviation map. But survival is the key. With competitive pricing and unpredictable demand, the regional aviation space is poised to become an interesting one in the coming years. BT

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